

Managed decoupling to define US-China ties

送信者: EG China 受信日時: 2026-08-28 03:25

【メール原文】

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Managed decoupling will define US-China relations through 2031

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Managed decoupling is our basecase through 2031 at 60%: Restrictions will increase, but mutual chokepoint exposure will keep both sides from severe escalation.

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Mutual de-risking will continue beneath the bilateral truce, but neither side will reduce its dependencies enough to be free of the other's coercive leverage by 2031.

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The post-2028 US transition, AI developments, and Taiwan are the variables most likely to disrupt the basecase, with all pointing toward persistent or increased bilateral pressure.

The US-China truce will likely hold through President Donald Trump's term, but both sides are using the time to de-risk. Our basecase through 2026 is that the Busan framework will largely survive because each side retains enough leverage to make escalation costly. However, we have raised the odds of a breakdown this year to 30% because of friction over AI and widening commercial restrictions (see: Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026). Through 2031, our basecase is managed decoupling, with escalation more likely than a pragmatic shift. Three uncertainties will shape the outlook: how far each side advances its de-risking efforts, how a post-Trump US administration approaches China policy, and how AI develops.

Neither country will eliminate the other's coercive leverage within five years. The US will continue to reduce its direct reliance on Chinese goods imports but will remain exposed to China's control over processed critical minerals and intermediate goods (see: China's chokepoint leverage goes beyond critical minerals , 30 June 2026). China will continue to reduce its foreign dependencies and redirect exports toward the Global South but will remain vulnerable to US financial sanctions and some technology export controls (see: Trump-Xi stabilization will not reverse the US-China race to de-risk , 4 May 2026). Both sides are moving toward coercive parity, which will deter decisive escalation but not rule out smaller, calibrated moves. That parity should constrain policymakers, but the outcome depends on both sides accurately judging their relative leverage, correctly reading each other's intentions, and avoiding domestic pressures that would lower the cost of escalation.

A post-Trump administration will probably be less accommodating of President Xi Jinping. Trump treats the relationship as transactional, is wary of retaliation, and places little weight on allied coordination or

Taiwan's political autonomy—characteristics his successor is unlikely to share. The four plausible post-2028 camps differ mainly on method, but all would probably retain some tariffs, outbound screening, and chip controls. The next US administration will also likely be less volatile, especially at the presidential level. That shift would support greater predictability, though not necessarily greater bilateral stability, given rising concerns about China. Xi, if he remains in good health and in power, will continue to view the US as China's strategic rival and pursue policies that strengthen China's leverage. One key uncertainty is whether growing Chinese confidence will lead to overreach. We expect Beijing to continue to calibrate its retaliation against Washington, but any disproportionate response would prompt an escalatory spiral.

AI is the most dynamic and least predictable variable. Advances in Chinese AI could compel Trump and the next administration to tighten export controls and impose broader restrictions on the use of Chinese models beyond what coercive parity would justify. Beijing will accelerate investment regardless of the state of bilateral relations, and perceived US efforts to widen the gap—such as restrictions on the use of Chinese models in the US, limits on Chinese access to computing hardware, or curbs on transactions with Chinese AI companies—could trigger retaliation. China could gain an advantage if low-cost diffusion and manufacturing scale turn AI into commercial and industrial power. The US could retain the advantage if scaling laws preserve its lead in frontier models and export controls restrict China's access to advanced hardware. Movement toward either outcome would increase the risk of escalation. How each side converts AI advances into gains on manufacturing, military capability, and diplomacy will shape perceptions of relative leverage and could alter risk tolerance.

Escalation is more likely than de-escalation. Persistent mutual chokepoints keep the basecase broad: Neither side is willing to bear the cost of a rupture, but neither can fully lower its guard. That dynamic limits the upside and makes a pragmatic pivot a 5% scenario absent a strategic rethink in both capitals. Several developments could shift the outlook to accelerated decoupling (25%): a major flare-up involving a third economy (such as Iran, Russia, Taiwan) that erodes confidence in restraint; a collapse of the economic framework or a damaging cycle of retaliation; or a perceived military or AI breakthrough that changes one side's calculus. Rupture (10%) would require a security shock, such as a kinetic event in the Taiwan Strait, that overrides economic restraint.

The practical implications of managed or accelerated decoupling are similar: Restrictions will increase, compliance obligations will remain two-sided, and diversification will continue. The managed decoupling basecase implies persistent, incremental pressure. In the accelerated scenario, that pressure would broaden and intensify. Firms should not assume conditions will improve.

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